

3. Non-optimal plan design, in some cases allowing workers to get paid more in retirement than while working;
4. Greater life expectancy; and
5. Low investment returns, with Rhode Island's pension fund earning 2.3% from 2000 to 2010 while its projected return was 8.25% over the same period.

The pension deficits had accumulated over many years. "You're paying for the sins of the past," said Frank Karpinski, the Executive Director of ERSRI.⁷ *Truth in Numbers* succeeded in drawing attention to the pension problem. It also framed the problem: no matter which side of the issue, everyone was talking from the same set of notes.

Together with Gov. Lincoln Chaffee, Raimondo put together a special commission that included representatives from labor unions, business, and academia. This Pension Advisory Group held public meetings across the state from June to September 2011 and allowed the public to share their views. Presentations at the meetings highlighted the seriousness of the problem. "At the end of the day, no one could criticize the process. It was long, it was thorough, it was open, and it was transparent," said Raimondo.⁸

Raimondo approached the process of pension reform by working backward. She first posed the question, "what does retirement security look like?" Targeting a *replacement rate* or ratio (the amount of income in retirement as a fraction of pre-retirement income) of 75% to 80%, Raimondo asked how the pension system should be designed to get there. In addition, she aimed to cut the unfunded liability in half immediately and to get to an 80% funded status in twenty years.

A key theme was *intergenerational fairness*. Under the current system, younger public employees were disadvantaged relative to older workers. Raimondo also wanted to design a plan in which risks were appropriately shared between the retirees and the state. She assured workers that reforms would not reduce accrued benefits.

"We are in the fight of our lives for the future of this state," said Raimondo.⁹

2. Labor Income

Labor income is a form of wealth. It is not traded (the Thirteenth Amendment abolished slavery), making it very different from the financial assets that we hold in our portfolios. Much of our lifelong allotment of human capital is determined at birth, but individuals can augment their human capital through education, while

⁷Quoted in Pew Center on the States, *The Trillion Dollar Gap: Underfunded State Retirement Systems and the Road to Reform*, 2012.

⁸Quoted in Burton, P., "Pension Reformer Honored," *The Bond Buyer*, Jan. 9, 2012.

⁹Quoted by Walsh, M. W., "The Little State with a Big Mess," *New York Times*, Oct. 22, 2011.